

SALES PERFORMANCE REVIEW

Superstore | Fiscal Years 2014 to 2017

Prepared: June 2026 | Confidential

EXECUTIVE SUMMARY

This report covers company sales from January 2014 through December 2017. Over the four-year period, the business generated \$2.3 million in revenue across 5,009 orders, serving 793 customers and 1,862 products. Total profit reached \$286,000, representing a net margin of 12.5%.

Revenue nearly doubled over the period, rising from \$484,000 in 2014 to \$733,000 in 2017. That growth, however, obscures three structural problems that are measurably suppressing profitability: an uncontrolled discounting policy, a loss-generating Furniture category, and five states where operations consistently run at a loss. Each of these is correctable.

KEY FINDINGS

The Furniture category accounts for 32% of total revenue (\$741,000) but produces only \$18,000 in profit, a 2.5% margin. Within it, Tables generated a loss of \$17,700 and Bookcases a loss of \$3,500, together erasing \$21,200 in profit. The category is consuming operational resources while contributing almost nothing to the bottom line.

Discounts above 20% are the single largest driver of losses. Transactions discounted between 21% and 30% carry a 91.6% loss rate; those above 50% lose money on every single transaction. Combined, discounts above this threshold have produced \$135,000 in negative profit. By comparison, transactions with no discount generated \$320,000 in positive profit over the same period.

Five states are consistently unprofitable: Texas (\$25,700 loss on \$170,000 in revenue), Ohio (\$17,000 loss), Pennsylvania (\$15,600 loss), Illinois (\$12,600 loss), and North Carolina (\$7,500 loss). Together they account for \$78,400 in cumulative losses against \$500,000 in revenue, with no mechanism currently in place to correct the trend.

Two additional observations are worth noting. Q4 accounts for 38% of annual revenue and 39% of annual profit; a single weak fourth quarter would materially damage full-year results. Separately, the Home Office segment, with only 148 customers, delivers a 14.0% profit margin, the highest of any customer segment and well above the Consumer segment's 11.5%.

RECOMMENDATIONS

The first and most impactful action is to set a firm 20% ceiling on discounts, with any exceptions requiring documented management approval. Enforcing this cap is projected to recover approximately \$135,000 in annual profit and can be implemented immediately.

The second action is a structured review of the Furniture category, with specific attention to Tables and Bookcases. If these two sub-categories reach the company's overall average margin of 12.5%, the gain would be approximately \$61,000. If that target cannot be reached through repricing or supplier renegotiation, discontinuation of the worst-performing SKUs should be considered.

The third action is a market-level review for the five loss-making states. Each should be examined to determine whether losses stem from account-level discounting, freight costs, or product mix, with corrective pricing applied accordingly.

BOTTOM LINE

Implementing the first two actions alone is estimated to raise total profit from \$286,000 to approximately \$482,000, a 68% improvement with no additional sales volume required. The revenue base is solid. What the business needs at this stage is tighter execution at the transaction level, not more transactions.

Data source: 9,986 transaction line items across 5,009 orders, 793 customers, and 1,862 products. January 2014 through December 2017.